

Rigetti Computing, Inc.

RGTI NASDAQ

Hold

\$16.48 ▼ 8.27%

12M Price Target
\$22.00

52-Week Range
\$12.08 – \$58.15

Market Cap
\$5.48B

RGTI: Quantum Hype Cooling, Insiders Selling Into Strength

WHAT HAPPENED

- RGTI dropped 8.3% on lighter volume — this looks like continuation of a slow bleed since June 30, not a panic. The Quantinuum IPO rally and the 24/7 Wall St "don't take the bait" article suggest the whole quantum space is getting a reality check — new supply (Quantinuum going public) means investors have more places to spread their quantum bets, which dilutes flows into RGTI.
- Director Ray Johnson dumped ~\$4.3M in stock over June — that's a big deal because insiders selling into a hype cycle is usually smart money telling you the current price is generous.

WHY IT MATTERS

Here's what I think is really happening: RGTI is trading at \$5.5B market cap on maybe \$15-20M in revenue — that's roughly 300x sales (investors paying \$300 for every \$1 the company earns in a year), which only makes sense if you believe quantum goes commercial soon. The stock is at 10% of its 52-week range, meaning it's given back almost all the frothy 2025 gains — that tells you the "quantum is here NOW" narrative is being repriced toward "quantum is here eventually." The Quantinuum IPO matters more than people realize: it gives institutional buyers a bigger, better-funded alternative (Honeywell-backed), which structurally caps RGTI's multiple. That said, the federal science funding backdrop is still supportive, so this isn't a zero — it's just no longer a "back up the truck" setup.

POLICY & POLITICAL WATCH

The big one to watch is the National Quantum Initiative Act reauthorization — the original NQIA expired and Congress has been dragging on renewing it, with proposals floating around \$2.5-3B in new federal quantum R&D funding over 5 years. If it passes with strong funding, RGTI is a direct beneficiary because they already have DARPA and Air Force contracts. Also watch export controls on quantum tech to China — the Commerce Department has been tightening these, which is a double-edged sword: it protects RGTI's IP but also caps their addressable market. The CHIPS Act extension talks in the Senate also indirectly help quantum since some funding buckets overlap.

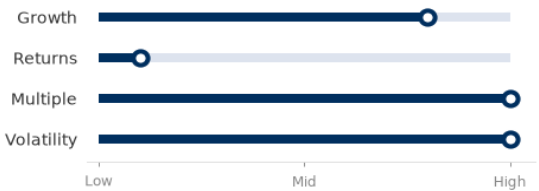
IS IT EXPENSIVE?

This stock is expensive by any normal measure — you're paying roughly \$300 for every \$1 of current revenue, versus maybe \$20-30 for a typical high-growth software name. The bull case says "revenue will 10x fast" but even at 2027 estimates you're still paying ~170x sales. The only way this valuation works is if you believe fault-tolerant quantum computing arrives by 2028-2029 and RGTI is one of the winners — that's a real possibility, but it's a bet, not a valuation.

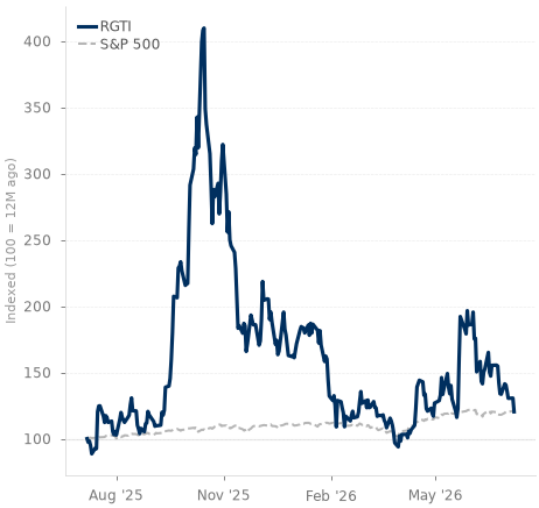
Key Data

Price (USD)	\$16.48
12M Price Target	\$22.00
Upside / (Downside)	+33.5%
Market Cap	\$5.48B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$22.00	\$17.00	\$13.00
6 Months	\$30.00	\$20.00	\$11.00
1 Year	\$40.00	\$22.00	\$9.00
2 Years	\$60.00	\$28.00	\$7.00
5 Years	\$120.00	\$45.00	\$5.00
10 Years	\$250.00	\$70.00	\$2.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy, Utilities, and Healthcare are leading today — that's a classic defensive rotation, which tells you money is getting nervous about high-multiple tech (bad for RGTI). Utilities specifically are riding the AI-power-demand narrative plus regulated rate hikes.

COOLING OFF: Speculative tech and quantum names are getting sold — the Quantinuum IPO absorbed a lot of the "quantum allocation" dollars that were sitting in RGTI and IONQ.

ROTATION WATCH: Money is moving from story stocks into cash-flowing defensives — that's a headwind for anything trading on 2028 promises rather than 2026 earnings. Watch the 10-year yield: if it drops, speculative names like RGTI catch a bid.

RELATED PLAY: If you want quantum exposure with less binary risk, the picks-and-shovels play is cryogenics and specialty equipment suppliers (like Bluefors' potential IPO, or FormFactor which supplies quantum test equipment) — they win regardless of which quantum architecture wins.

WHO'S WINNING IN THIS SPACE?

- QBTS (D-Wave): Different quantum architecture (annealing) with actual commercial revenue — the market is starting to reward proven use cases over pure research
- QUBT (Quantum Computing Inc): Photonics angle has been getting attention as a lower-cost path

RGTI CONTEXT: RGTI is lagging the quantum peer group over the last month — it's giving back gains faster than QBTS, which tells me the market views RGTI as more of a "science project" and less of a "near-term revenue story." That's a warning sign — when your peers are holding up better, it usually means fundamentals-focused money is exiting your name first.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — I'm cautiously interested but not pounding the table; the tech is real but the valuation and insider selling say wait.

POSITION SIZE: 1-2% max, treated as a lottery ticket — the range of outcomes is so wide (could be \$5 or \$50) that sizing small is the only sane approach.

ENTRY POINTS: I'd wait for \$12-14 — that's near the 52-week low where forced sellers get flushed out and the risk/reward tilts back your way.

TIME HORIZON: 18-36 months, waiting for either NQIA reauthorization to pass or a commercial revenue inflection — this isn't a next-quarter trade.

WHEN TO BAIL: If they announce a dilutive capital raise at a lower price, or if a competitor hits a clear commercial milestone first, cut it — the thesis is broken.

HEDGING: Simplest protection is just position sizing (small). If you own a bigger stake, buy out-of-the-money puts 3-6 months out — think of it as insurance that costs you a small premium but caps your downside if quantum sentiment cracks.